

Corporate Financial Policy Manual 2026

1. Term Loan Policy

Maximum loan tenure: 15 years. Minimum borrower credit score: 700. Loans above INR 50,00,000 require Credit Committee approval. Maximum Loan-to-Value (LTV): 80%.

2. Working Capital Finance

Eligible businesses must have at least 3 years of operational history. Maximum working capital limit: INR 2 Crore. Annual financial statements must be submitted for review.

3. Letter of Credit Policy

Letters of Credit may be issued for domestic and international trade. Maximum LC validity period: 12 months. Transactions above INR 1 Crore require Senior Credit Officer approval.

4. Bill Discounting Policy

Only invoices from approved counterparties are eligible. Maximum discounting period: 180 days. Interest rates are determined based on borrower risk category.

5. Credit Risk Assessment

Risk Categories: Low Risk: Credit Score > 800 Medium Risk: Credit Score 700–800 High Risk: Credit Score < 700 High-risk applications require enhanced due diligence.

6. Compliance Requirements

All borrowers must complete KYC verification. AML screening is mandatory before loan disbursement. Regulatory compliance checks must be documented and retained for 7 years.

7. Approval Authority Matrix

Branch Manager: Up to INR 25 Lakh Regional Manager: INR 25 Lakh to INR 1 Crore Credit Committee: Above INR 1 Crore

8. Policy Exceptions

Any exception to policy guidelines must be documented. Policy exceptions require approval from the Chief Risk Officer.